



LAYER 1 — CORE (Readiness Assessment)

1 CORE SCORE (ESG Benchmark)



Formula:

Dependent on the existing benchmark (arithmetic mean or other current algorithm).

From the documentation:

This is the existing scoring system (not modified by the Relevance Engine).



Purpose:

Main operational readiness assessment.

Source:

- Executive Summary
- Industry benchmark



Integration:

- Calculated after questionnaire completion
- Stored in DB as `core_score`
- Used in:
 - Executive Summary
 - Industry comparison
 - PDF Report (page 1)

DB = Database



LAYER 2 — RELEVANCE ENGINE™

2 BASELINE INDUSTRY MATERIALITY (B_i)



Source:

Industry constants from table (e.g., IT, Energy, Retail, etc.)

Example:

IT → E=30, S=70, G=85, SC=35



Purpose:

System expert anchor.

Independent of the user.



Integration:

- Retrieved from config file / DB table
 - After Industry ID selection
 - Stored as **B_i**
-

3 REGULATORY ADJUSTMENT (R)



Values:

- Low → +0
- Medium → +10
- High → +20



Purpose:

Increases materiality under high regulatory exposure.



Integration:

- Mapping from Compliance section responses
- Stored as **R_value**
- Dynamic variable

4 CONTRACTUAL ADJUSTMENT (C)

Values:

- No pressure → +0
- Clients asking → +10
- Banks/tenders → +15

Purpose:

Increases materiality under market pressure.

Integration:

- Mapping from tender/bank-related responses
 - Stored as `C_value`
 - Dynamic variable
-

5 MATERIALITY SCORE (MS_i)

Formula:

$$MS_i = \min(100, (B_i \times 0.6) + (R \times 0.2) + (C \times 0.2))$$

Purpose:

Defines how important a given gap is in business context.
This is not risk. This is materiality.

Integration:

- Backend calculation layer
- Calculated for each of the 4 pillars
- Stored as:

- MS_E, MS_S, MS_G, MS_SC
 - Not shown directly to the user
-

6 ESG RISK RELEVANCE SCORE (ERRS_i)

Formula:

$$\text{ERRS}_i = (100 - \text{ESG}_i) \times (\text{MS}_i / 100)$$

Purpose:

This represents real business exposure.
Gap × Materiality.

Integration:

- Backend
- Calculated after MS_i
- Stored as:
 - ERRS_E, ERRS_S, ERRS_G, ERRS_SC

Used in:

- ✓ TOP3 selection
 - ✓ Risk Class
 - ✓ 90-Day sorting
 - ✓ AI Commentary
 - ✓ Dashboard colors
-

7 RISK CLASS (based on ERRS)

Thresholds:

- 0–20 → Low
- 21–45 → Medium
- ≥46 → High (CRITICAL)

**Purpose:**

Communication classification.

**Integration:**

- UI Logic Gates
 - Color scheme:
 - Green
 - Amber
 - Red
 - Dynamic text blocks
-

8 RELEVANCE FILTER™ (90-DAY PLAN)

**Algorithm:**

- Sort tasks by ERRS DESC
- $ERRS > 46 \rightarrow \text{index } 0$ (TOP PRIORITY)

**Purpose:**

Action prioritization.

**Integration:**

- Input: task list + ERRS values
 - Sort array by ERRS descending
 - UI label: "CRITICAL"
-

9 WEIGHTED BUSINESS SCORE

**Formula:**

$$\text{WeightedScore} = \Sigma(\text{ESG}_i \times \text{MS}_i) / \Sigma(\text{MS}_i)$$

**Purpose:**

Real business readiness adjusted for industry materiality.

**Integration:**

- Backend
 - Stored as `weighted_score`
 - Displayed next to CORE as:
“Real Business Maturity”
-

10 GLOBAL BUSINESS-READY SCORE (from technical document)

**Formula:**

$$\text{Sum}(\text{Score}_i \times \text{MS}_i) / \text{Sum}(\text{MS}_i)$$

(Equivalent to WeightedScore)

**Integration:**

- Top section of the report
 - Main dashboard
-

11 SIMULATION (WHAT-IF)

**Mechanism:**

Change R and C → recalculate MS_i → recalculate ERRS_i

**Purpose:**

Show how pressure increases with strategy changes.

**Integration:**

- Frontend toggles
- Backend recalculation

- Temporary state (do not store in DB)
-

DECISION READINESS INDEX

From document:

No mathematical formula — qualitative classification:

- Low
- Medium
- High

Integration:

- Separate module
 - Does not affect CORE
 - Does not affect ERRS
 - Separate section in report
-

FULL FLOW MAP

Questionnaire → CORE → B_i → R → C → MS_i → ERRS_i →
→ Risk Class → TOP3 → 90-Day Plan → WeightedScore → Decision Readiness

Critical for Developers

- MS_i must be calculated before ERRS
- ERRS depends on current ESG_i
- WeightedScore depends on MS_i

- ESG = CORE (not ERRS)
 - MS_i and ERRS_i are internal-only
-

Final DB Results Structure

- `core_score`
- `weighted_score`
- `decision_readiness_level`
- `MS_E / MS_S / MS_G / MS_SC`
- `ERRS_E / ERRS_S / ERRS_G / ERRS_SC`
- `risk_class_E / risk_class_S / risk_class_G / risk_class_SC`
-